worthwhile method is to make a close study of how much in dollar sales or net profits has been contributed to a company by the results of its research organization during a particular span, such as the prior ten years. An organization which in relation to the size of its activities has produced a good flow of profitable new products during such a period will probably be equally productive in the future as long as it continues to operate under the same general methods.

POINT 4. Does the company have an above-average sales organization?

In this competitive age, the products or services of few companies are so outstanding that they will sell to their maximum potentialities if they are not expertly merchandised. It is the making of a sale that is the most basic single activity of any business. Without sales, survival is impossible. It is the making of repeat sales to satisfied customers that is the first benchmark of success. Yet, strange as it seems, the relative efficiency of a company's sales, advertising, and distributive organizations receives far less attention from most investors, even the careful ones, than do production, research, finance, or other major subdivisions of corporate activity.

There is probably a reason for this. It is relatively easy to construct simple mathematical ratios that will provide some sort of guide to the attractiveness of a company's production costs, research activity, or finan-cial structure in comparison with its competitors. It is a great deal harder to make ratios that have even a semblance of meaning in regard to sales and distribution efficiency. In regard to research we have already seen that such simple ratios are far too crude to provide anything but the first clues as to what to look for. Their value in relation to production and the financial structure will be discussed shortly. However, whether or not such ratios have anything like the value frequently placed upon them in financial circles, the fact remains that investors like to lean upon them. Because sales effort does not readily lend itself to this type of formulae, many investors fail to appraise it at all in spite of its basic impor-tance in determining real investment worth.

Again, the way out of this dilemma lies in the use of the “scuttlebutt” technique. Of all the phases of a company's activity, none is easier to learn about from sources outside the company than the relative effi-ciency of a sales organization. Both competitors and customers know the answers.